Question 1

Jackson plc

You are the financial accountant of Jackson plc (Jackson) responsible for constructing the consolidated financial statements of the Jackson Group for the year ended 31 December 20X9 in accordance with IFRS Accounting Standards.

Jackson acquired a new subsidiary, Stewart Ltd (Stewart), during the year. Your assistant has started preparing the consolidated financial statements but faced difficulties in calculating goodwill at the date of acquisition as they were unsure how to account for the net assets of Stewart.

Extracts from the individual financial statements of Jackson and Stewart are included in Appendix 1. Information relating to Stewart's net assets and other information relating to the acquisition of Stewart and transactions between the companies is included in Appendix 2.

Required:

1.
   a) Advise how the net assets of Stewart should be accounted for at the date of acquisition.
   b) Calculate the goodwill in Stewart at the date of acquisition. You are not required to prepare the goodwill journal entry in this requirement.

(10 marks)

2. Prepare, showing all workings, the consolidation journal entries necessary for the preparation of the Jackson Group financial statements for the year ended 31 December 20X9. You are not required to prepare the 'final step' transfer.

(17 marks)

Total marks (27 marks)

Note: All journal entries should be presented in £'000.

Appendix 1 – Financial statement extracts

Statements of financial position
As at 31 December 20X9

	Jackson £'000	Stewart £'000
Equity		
Share capital	10,000	4,000
Revaluation surplus	3,200	-
Retained earnings	14,900	4,400
Total equity	28,100	8,400

Statements of profit or loss
For the year ended 31 December 20X9

	Jackson £'000	Stewart £'000
PROFIT FOR THE YEAR	7,600	1,200

Appendix 2 – Other information relevant to the consolidation of Stewart Fair value of the net assets of Stewart

1. The Stewart brand, which has been independently valued at £200,000, has not been recognised in the individual financial statements of Stewart. The brand has an estimated useful life of five years.
2. Property with a carrying amount of £6m was professionally valued at £8m at the date of acquisition. Stewart has been depreciating the property at 4% per annum on a straight-line basis with nil residual value. Property had not previously been revalued and had been carried at depreciated historical cost. The useful life at the date of acquisition is 20 years.
3. Issued bonds with a carrying amount of £3m had a fair value of £3.2m at the date of acquisition. The bonds are measured at amortised cost. The effective interest rate of bonds is estimated to be 6.4% at the date of acquisition, where it was previously 8%.

Other information relating to the acquisition of Stewart and transactions between the companies

1. Jackson acquired 90% of the ordinary share capital of Stewart on 1 April 20X9 for a cash consideration of £10.9m. At the date of acquisition, the ordinary share capital of Stewart was £4m and the retained earnings was £3m.
2. Jackson measures non-controlling interests at a proportionate share of net assets.
3. There has been no impairment of any goodwill in Stewart in the year ended 31 December 20X9.
4. After acquisition, Jackson sold goods to Stewart for a total of £2,200,000. Jackson achieved a gross margin of 20% on these sales. At 31 December 20X9, Stewart had 25% of these goods in inventories.

Question 2

Bruin Ltd

You are the financial controller of Bruin Ltd (Bruin).

You are preparing the consolidated financial statements of the Bruin Group for the year ended 31 December 20X3, in accordance with IFRS Accounting Standards.

Bruin increased its shareholding in its only subsidiary, Gumdrop Ltd (Gumdrop), during the year. Gumdrop was acquired in stages in 20X1. Your new accounts assistant does not have experience in accounting for a subsidiary acquired in stages nor in accounting for increases in existing shareholdings. They have asked for your help in understanding the accounting requirements for the acquisitions in Appendix 1.

Other information relevant to the consolidation of Gumdrop is included in Appendix 2.

Required:

1. Advise, providing supporting calculations, on how Bruin should account for the business combination achieved in stages for the year ended 31 December 20X1 and 20X3. You should refer to any errors made by your assistant.

(10 marks)

2. Prepare, showing all workings, any consolidation journal entries necessary for the year ended 31 December 20X3. You are not required to prepare the journal entry for the 'final step' transfer.

(15 marks)

Total marks (25 marks)

Note: All journal entries should be presented in £'000

Appendix 1 – Information relating to the acquisition of Gumdrop

Bruin has held an investment in Gumdrop since May 20X1 and gained a non-controlling interest at that date. Further investments were later purchased and the share of ownership was increased in December 20X1. Bruin does not elect to present fair value movements in other comprehensive income.

During the year ended 31 December 20X3, it increased its shareholding in Gumdrop. Details of the three purchases are included below:

	Shares '000	Cost £'000	Retained earnings of Gumdrop £'000
1 May 20X1	100	200	1,425
31 December 20X1	1,000	2,150	1,680
1 May 20X3	200	520	2,143

At 31 December 20X1, the shares acquired on 1 May 20X1 had a fair value of £215,000. All changes in fair value have been recorded correctly in Bruin's individual financial statements.

Gumdrop's issued share capital is 2,000,000 £1.00 ordinary shares. Gumdrop's share premium on the issue of these shares was £500,000. Both balances remain unchanged. The fair value of Gumdrop's net assets was equal to their carrying amounts at each date. Bruin measures non- controlling interest at a proportionate share of net assets.

Your assistant has provided you with their calculation which shows a bargain purchase on the acquisition of Gumdrop at 1 May 20X3 as follows:

	£'000
Cost (200 + 2,150 + 520)	2,870
Non-controlling interest (35% x 4,643)	1,625
Share capital	2,000
Share premium	500
Retained earnings	2,143
	4,643
Gain on bargain purchase	(148)

Your assistant has not accounted for the gain on the bargain purchase calculated as they realise there may be errors in their calculation.

Appendix 2 – Other information relating to the consolidation of Gumdrop

The following additional information is available:

1. Goodwill in relation to the investment in Gumdrop was impaired by £40,000 in the year ended 31 December 20X2.
2. Gumdrop's retained earnings at 31 December 20X3 were £2,410,000.
3. Gumdrop's profit for the year ended 31 December 20X3 was £400,000 and accrued evenly across the year.

Question 3

Simpson Group

You are preparing the consolidated financial statements of Simpson Group (Simpson) for the year ended 31 December 20X9, in accordance with IFRS Accounting Standards.

All subsidiaries within the group have been consolidated, except for Prima Ltd (Prima). Extracts from the statements of financial position are included in Appendix 1.

Simpson sold its entire shareholding in Prima on 31 December 20X9. Information relating to Simpson's investment in Prima and the disposal of Prima are included in Appendix 2.

Required:

1. Advise how Simpson should account for the disposal of Prima and how Prima should be presented in the financial statements for the year ended 31 December 20X9. You are not required to provide any calculations in this requirement.

(7 marks)

2. Prepare, showing all workings, any consolidation journal entries necessary for the year ended 31 December 20X9. You do not need to prepare the journal entry for the final step.

(20 marks)

Total marks (27 marks)

Note: All journal entries should be presented in £'000

Appendix 1 – Extracts from the statements of financial position

Statements of financial position
As at 31 December 20X9

	Simpson Group (excluding Prima)	Prima
	£'000	**£'000**
Total assets	13,140	3,110
Equity		
Share capital	4,000	400
Revaluation surplus	800	60
Retained earnings	6,340	2,650
	11,140	3,110
Non-controlling interests	2,000	-
Total equity	13,140	3,110

The balances for the Simpson Group include all subsidiaries except for Prima.

Appendix 2 – Information relating to the acquisition and disposal of Prima

Simpson acquired 60% of Prima on 4 August 20X1 for a consideration of £900,000 when Prima's revaluation surplus was £150,000 and its retained earnings were £120,000. Goodwill was impaired by

£249,000 in the current year. Simpson measures non-controlling interests at a proportionate share of net assets.

Prima's profit for the year ended 31 December 20X9 was £820,000. There were no revaluations in the current year. Prima does not make annual transfers from the revaluation surplus to retained earnings. Prima did not declare or pay a dividend during the current year.

On 31 December 20X9, Simpson sold its entire shareholding in Prima for £3,000,000. The proceeds have been recorded in retained earnings in Simpson's individual statement of financial position.

Prima was a separate major line of business for the Simpson Group.

Question 4

Xander Group

You are the recently appointed financial controller of Xander Group (Xander), which prepares its annual financial statements to 30 September each year. All companies in Xander prepare their financial statements in accordance with IFRS Accounting Standards.

Today you are required to construct Xander's consolidated statement of profit or loss for the year ended 30 September 20X8.

At 1 October 20X7, Xander had two subsidiaries: Magnum Pocus Ltd (Magnum) operating in the retail business and Omricon Ltd (Omricon) operating in the manufacturing business. The retail operation was markedly different from their core operations, targeting a broader and distinct customer base.

Before you can construct Xander's consolidated statement of profit or loss you must prepare the consolidation journal entries for Magnum, including the disposal, which took place on 30 September 20X8; and the consolidation journal entries relating to intra-group transactions involving Omricon. The statements of profit or loss for the year ended 30 September 20X8 can be found in Appendix 1 and details of Xander's investments in Magnum and the disposal of Magnum, and intra-group transactions are contained in Appendix 2.

The managing director of Xander has asked you not to draw attention to the disposal when preparing the financial statements. He believes that either presenting the results of Magnum separately or including detailed disclosures relating to the disposal would draw unwanted attention to the company, which could have negative consequences for your job security.

Required:

1. Prepare, showing all workings, any consolidation journal entries necessary for the year ended 30 September 20X8. You are not required to prepare the 'final step' for consolidation.

(30 marks)

2. Advise on how Magnum should be presented in the consolidated financial statements of Xander for the year ended 30 September 20X8.

(5 marks)

3. Explain, with reference to the fundamental principles, any ethical issues that arise for you as a result of the managing director's request, including the action you would take.

(4 marks)

Total marks (39 marks)

Note: All journal entries should be presented in £'000

Appendix 1 – Statements of profit or loss for the year ended 30 September 20X8

Statements of profit or loss
For the year ended 30 September 20X8

	Xander £'000	Magnum £'000	Omricon £'000
Revenue	64,859	3,156	6,548
Cost of sales	(7,589)	(1,567)	(2,658)
Gross profit	57,270	1,589	3,890
Other operating income	659	-	-
Selling expenses	(9,482)	(953)	(1,026)
General and administrative expenses	(26,851)	(1,584)	(954)
Operating profit	21,596	(948)	(1,910)
Dividend income	1,465	-	-
Profit before financing and income taxes	23,061	(948)	(948)
Interest expense on borrowing and lease liabilities	(7,705)	(81)	(196)
Profit/(Loss) before income taxes	15,356	(1,029)	1,714
Income tax expense	(3,480)	-	(354)
PROFIT/(LOSS) FOR THE YEAR	11,876	(1,029)	1,360

Appendix 2 – Details of the disposal of Magnum and intercompany transactions with Omricon
Disposal of Magnum

1. Xander purchased 80% of the ordinary shares of Magnum for £4,500,000 on 1 February 20X2. The equity of Magnum at that date and at 30 September 20X8 were:

	1 February 20X2 £'000	30 September 20X8 £'000
Share capital	1,000	1,000
Share premium	200	200
Retained earnings	3,260	2,984
Total equity	4,460	4,184

2. Goodwill was considered to be impaired by 60% during the year ended 30 September 20X5 and a further 10% of the original amount a year later.
3. Magnum did not pay a dividend during the year ended 30 September 20X8.
4. Xander announced its intention to sell its entire holding on 30 September 20X7 and sold it for £3,000,000 on 30 September 20X8. Proceeds were recognised as Dr Cash and cash equivalents and Cr Revenue.

Intra-group transactions

5. Omricon was incorporated on 1 January 20X4. Xander subscribed to 80% of Omricon's 5,000 £1.00 ordinary shares at par. Xander has already consolidated Omricon, except to account for the intra-group transactions.
6. Omricon paid a dividend of £1,100,000 during the year ended 30 September 20X8. Xander presents dividends within the SPL as dividend income.
7. During the year ended 30 September 20X8, Xander sold goods to Omricon at a price of £1,400,000. These goods were sold at a markup of 30%. Of the goods sold, 15% were still in inventories at 30 September 20X8. All of the goods had been paid for.
8. Omricon sold a patent to Xander on 1 October 20X7 for £250,000. The patent cost Omricon £430,000 on 1 October 20X4 and was being amortised by Omricon over its expected useful life of seven years. At the date of transfer, Omricon expected to be able to use the patent for a further two years. Xander has correctly recorded the purchase of the patent, and its amortisation since the date of transfer has been based on an expected useful life of two years.

Question 5

Black Group

You are the recently appointed financial accountant of Black Group (Black), which prepares its annual financial statements to 31 December each year. All companies in the group prepare their financial statements in accordance with IFRS Accounting Standards.

Black disposed of some shares in its subsidiary Blue Ltd (Blue) on 31 December 20X8. The statements of financial position and the statement of profit or loss for Black and for Blue for the year ended 31 December 20X8 can be found in Appendix 1. Information relevant to the acquisition and disposal of the shares in Blue is in Appendix 2.

Required:

1. Prepare, showing all workings, any necessary consolidation journal entries for the year ended 31 December 20X8.

(19 marks)

2. Advise on the difference in accounting for a partial disposal of shares in a subsidiary, as has happened with Blue, compared to a full disposal.

(11 marks)

Total marks (30 marks)

Note: Ignore the tax effects on the disposal of Blue.

All journal entries should be presented in £'000

Appendix 1 – Statements of financial position and statement of profit or loss for the year ended 31 December 20X8

Statements of financial position
As at 31 December 20X8

	Black Group £'000	Blue £'000
ASSETS		
Non-current assets		
Property, plant and equipment	600	150
Investments	220	-
	820	150
Current assets		
Inventories	400	500
Trade receivables	60	210
Cash and cash equivalents	140	150
	600	860
Total assets	1,420	1,010
EQUITY AND LIABILITIES		
Equity		
Share capital	150	100
Retained earnings	781	239
Total equity	631	339
Non-current liabilities		
Debentures	200	-
Total non-current liabilities	200	-
Current liabilities		
Trade and other payables	289	671
Total current liabilities	289	671
Total liabilities	489	671
Total equity and liabilities	1,420	1,010

Statements of profit or loss
For the year ended 31 December 20X8

	Black Group £'000	Blue £'000
Revenue	3,682	2,010
Cost of sales	(3,181)	(1,845)
Gross profit	501	165
Other operating income	300	-
Selling expenses	(96)	(14)
General and administrative expense	(289)	(106)
Operating profit	416	45
Profit before financing and income taxes		
Interest expense on borrowing and lease liabilities	(12)	(3)
Profit before income taxes	404	42
Income tax expense	(45)	(24)
PROFIT FOR THE YEAR	359	18

Appendix 2 – Information relating to the acquisition of Blue, intra-group transactions and the disposal of shares in Blue

Black acquired 80,000 £1.00 ordinary shares in Blue for cash consideration of £120,000 on 1 January 20X1. Black also transferred land with a carrying amount of £30,000 and a fair value of £40,000 at the date of transfer. The land was derecognised by Black and included as part of the investment in Blue. Retained earnings of Blue at the date of acquisition totalled £86,000.

On 31 December 20X8, Black sold 10,000 shares in Blue for £38,000. The only accounting taken place has been to record proceeds in Black's individual financial statements against other income in the statement of profit or loss.

Additional information relevant to the consolidation of Blue:

- The Black Group's consolidated financial statements shown in Appendix 1 exclude Blue. All other subsidiaries of Black are wholly owned.
- Goodwill from the acquisition of Blue was impaired by 20% in 20X3.
- Blue is not a separate line of business from other companies in the group.
- Black charged Blue a management fee of £20,000 per quarter. The fee payable for the quarter ended 31 December 20X8 was unpaid at the year end. Management fees are presented by Black within Other operating income

Question 6

Foxy Trading Ltd

You are the group financial controller of Foxy Trading Ltd (Foxy). You are preparing the Foxy Group's first set of consolidated financial statements for the year ended 31 March 20X3, in accordance with IFRS Accounting Standards.

Foxy has two subsidiaries, which were acquired in the current year – Chapman Associates Inc (Chapman), a company incorporated in the United States, and Decant Spirits Ltd (Decant).

Information on the fair value of Decant's net assets is included in Appendix 1. Other information relevant to the consolidation of Chapman is included in Appendix 2.

Required:

1. Using the information in Appendix 1:
   a) Advise how Decant's net assets will be measured for inclusion in the calculation of goodwill at the date of acquisition; and
   b) Calculate the fair value of the net assets at the date of acquisition

(11 marks)

2. Prepare, showing all workings, any consolidation journal entries necessary for Chapman for the year ended 31 March 20X3. You do not need to prepare the journal entry for the final step.

(12 marks)

Total marks (23 marks)

Note: All journal entries should be presented in £'000

Appendix 1 – Information on the fair value of Decant's net assets Acquisition

Foxy acquired 80% of Decant's 250,000 £1.00 ordinary shares on 31 March 20X3. Decant had retained earnings of £260,000 and a revaluation surplus of £316,000 at the date of acquisition.

Property

Property owned by Decant has a carrying amount of £950,000. The current market value of the property is estimated to be £1,150,000 at 31 March 20X3.

Decant measures its property at fair value under the revaluation model. The fair value of the property is reflected in Decant's individual financial statements at 31 March 20X3.

Inventories

Following a full inventories count and a review of the market, an additional £20,000 of allowances for inventories are considered necessary at 31 March 20X3.

Debentures

Included in non-current liabilities are 200,000 £1.00 debentures. The debentures are measured at amortised cost in Decant's individual financial statements. The effective interest rate on the debentures is equal to the nominal interest rate. Due to changes in market conditions, the debentures have a fair value of £0.79 each at 31 March 20X3.

Contingent liability

Notes to the financial statements for the year ended 31 March 20X3 disclose a contingent liability in respect of an ongoing dispute with a supplier. No amount was provided for in Decant's financial statements for the year ended 31 March 20X3. A settlement was reached in April 20X3, whereby Decant had to pay £10,000 to the supplier plus legal fees of £3,000.

Appendix 2 – Information relevant to the consolidation of Chapman

Foxy acquired 100% of Chapman's 120,000 $1.00 ordinary shares on 1 April 20X2 for a cash consideration of £350,000 when Chapman's retained earnings were $280,000. The fair value of the net assets was agreed to be equal to their carrying amount.

Chapman's profit for the year ended 31 March 20X3 was $75,000. The relevant exchange rates are as follows:

- 1 April 20X2 – $1.60:£1
- Average for the year ended 31 March 20X3 – $1.65:£1
- 31 March 20X3 – $1.70:£1

The goodwill in Chapman was impaired by 10% in the year ended 31 March 20X3.

Question 7

Granite Rocks Ltd

You are the group financial controller of Granite Rocks Ltd (Granite), an unlisted UK company. You are in the process of preparing the consolidated financial statements of the Granite Group for the year ended 30 September 20X9, in accordance with IFRS Accounting Standards.

Granite has two unlisted subsidiaries – Marble Hearths Ltd (Marble) and Terracotta SpA (Terra), a company incorporated in Italy. The individual statements of profit or loss of Granite, Marble and Terra are included in Appendix 1. Other information relevant to the consolidated financial statements is included in Appendix 2.

Also, the finance director has been complaining about the amount of time and cost involved in preparing the consolidated financial statements. They feel that the Italian subsidiary has been causing delays in reporting each month since its acquisition. They have asked you to provide advice, summarising the exemptions from preparing consolidated financial statements, indicating whether Granite could take advantage of any of them. They would also like a summary of the grounds for excluding a subsidiary from consolidation, indicating whether Terra could be excluded from consolidation in the future.

Required:

1. Prepare, showing all workings, any consolidation journal entries necessary for the year ended 30 September 20X9

(36 marks)

2. Advise the finance director, providing explanations on the exemptions from preparing consolidated financial s statements under IFRS 10, Companies Act 2006 and stock exchange regulations and on Terra's exclusion from consolidation in the future.

(6 marks)

Total marks (38 marks)

Note: Ignore foreign exchange differences relating to intercompany transactions and balances.

All journal entries should be presented in £'000

Appendix 1 – Individual statements of profit or loss

Statements of profit or loss
For the year ended 30 September 20X9

	Granite £'000	Marble £'000	Terra €'000
Revenue	26,811	10,325	14,239
Cost of sales	(16,231)	(7,021)	(10,266)
Gross profit	10,580	3,304	3,973
General and administrative expenses	(6,447)	(2,788)	(3,886)
Operating profit	4,133	516	87
Dividend income	740	-	-
Profit before financing and income taxes	4,873	516	87
Interest expenses on borrowing and lease liabilities	(1,750)	(65)	(116)
Profit/ (Loss) before income taxes	3,123	451	(29)
Income tax expense	(980)	(126)	-
PROFIT/ (LOSS) FOR THE YEAR	2,143	325	(29)

Appendix 2 – Other information relevant to the consolidated financial statements

1. Acquisitions and goodwill

Granite acquired 80% of Marble's 500,000 £1.00 ordinary shares on 30 November 20X1 for a consideration of £700,000 when Marble's retained earnings were £320,000. Retained earnings are £500,000 at 30 September 20X9.

Granite acquired 100% of Terra's 800,000 €1.00 ordinary shares on 1 October 20X8 for a consideration of €950,000, when Terra's retained earnings were €50,000.

At 30 September 20X9, it was decided that the goodwill in relation to Marble should be impaired by 10%.

2. Intercompany transactions and balances

During the year ended 30 September 20X9, Granite sold goods to Marble for £2,635,000. Goods were sold at a margin of 40%. Goods sold for £550,000 remain unpaid and in inventories at 30 September 20X9.

During the year ended 30 September 20X9, Marble paid a dividend of £0.60 per share. Granite presents dividends received within dividend income in the investing category of the SPL.

On 1 October 20X8, Granite sold a machine to Terra for £40,000. The machine was originally purchased on 1 October 20X6 for £60,000 when its expected useful life was five years with no residual value. All group companies depreciate machinery over estimated useful life. There has been no change in the machine's expected useful life.

3. Exchange rates

The relevant exchange rates are as follows:

- 1 October 20X8 – €1.50:£1
- Average for the year ended 30 September 20X9 – €1.45:£1
- 30 September 20X9 – €1.40:£1

Question 8

Cowan Group

You are the financial controller of the Cowan Group, which consists of Cowan plc (Cowan), its wholly owned subsidiaries and a joint venture, Penman Ltd (Penman).

You must prepare the consolidated financial statements of the Cowan Group for the year ended 31 December 20X8, in accordance with IFRS Accounting Standards.

Your assistant accountant has completed the consolidation of the subsidiaries but is unsure how to account for the joint venture.

The consolidated financial statements of the Cowan Group, excluding Penman, are included in Appendix 1. Other information relevant to the consolidated financial statements is included in Appendix 2.

Required:

1. Prepare, showing all workings, any consolidation journal entries necessary for the year ended 31 December 20X8. You should include the final step

(12 marks)

2. Construct, showing all workings, the non-current assets and equity sections of the Cowan Group consolidated statement of financial position as at 31 December 20X8.

(4 marks)

Advise on the disclosure requirements relating to the joint venture in the Cowan Group financial statements for the year ended 31 December 20X8.

(5 marks)

Total marks (21 marks)

Note: All journal entries should be presented in £'000

Appendix 1 – Consolidated financial statements excluding Penman

Statements of financial position (abbreviated)
As at 31 December 20X8

	Cowan Group	Penman
ASSETS	**£'000**	**£'000**
Non-current assets		
Property, plant and equipment	4,500	900
Investment in Penman	100	-
Current assets	4,600	900
Inventories	510	120
Trade and other receivables	490	230
Cash and cash equivalents	120	20
	1,120	370
Total assets	5,720	1,270
EQUITY AND LIABILITIES		
Equity		
Share capital	1,000	400
Share premium	800	-
Retained earnings	1,840	460
Total equity	3,640	860
Total liabilities	2,080	410
Total equity and liabilities	5,720	1,270

Statements of profit or loss
For the year ended 31 December 20X8

Revenue	5,200	1,200
Cost of sales	(3,500)	(800)
Gross profit	1,700	400
General and administrative expenses	(400)	(100)
Operating profit	1,300	300
Finance income	40	-
Profit before financing and income taxes	1,340	300
Profit before income taxes	1,340	300
Income tax expense	(300)	(80)
PROFIT FOR THE YEAR	1,040	220

Appendix 2 – Other information relevant to the consolidated financial statements

Cowan, along with three other investors, set up the joint venture as a limited company on 1 January 20X1. Each investor subscribed to 100,000 £1.00 ordinary shares.

Control of Penman is shared equally amongst the investors. The joint venture carries out a separate line of business from that of Cowan and its subsidiaries.

During the year ended 31 December 20X8, a wholly owned subsidiary of Cowan sold goods to Penman for £40,000 at a markup of 25%. At 31 December 20X8, half of these remained in inventories.

Penman paid a dividend of £160,000 on 30 November 20X8. Cowan presents dividends received as dividend income in the financial statements.

Question 9

Badminton Training Group plc

You are the recently appointed group financial controller of Badminton Training Group plc (Badminton). You are preparing consolidated financial statements for the year ended 31 May 20X2, in accordance with IFRS Accounting Standards.

Badminton is the ultimate parent of a small group of companies. Badminton has one subsidiary, Cooley E-learning plc (Cooley), which it acquired on 1 December 20X1. In addition, during the year ended 31 May 20X2, Badminton acquired an interest in another entity, Upton Knowledge Ltd (Upton). The draft statements of profit or loss for Badminton, Cooley and Upton for the year ended 31 May 20X2 are in Appendix 1. Details of Badminton's investments in Cooley and Upton, together with details of transactions between all three companies, are in Appendix 2.

The directors of Badminton do not believe that Upton should be included in the consolidated financial statements as it is not a subsidiary. They are keen to ensure they comply with relevant standards and have asked for you to advise on whether they are correct.

Required:

1. Prepare, showing all workings, any consolidation journal entries necessary for the year ended 31 May 20X2.

(26 marks)

2. Advise the directors of Badminton on whether Upton is required to be included in the consolidated financial statements for the year ended 31 May 20X2.

(4 marks)

Total marks (30 marks)

Note: The 'final step' for consolidation is not required.

All journal entries should be presented in £'000

Appendix 1 – Draft statements of profit or loss for the year ended 31 May 20X2

Statements of profit or loss
For the year ended 31 May 20X2

	Badminton	Cooley	Upton
	£'000	£'000	£'000
Revenue	18,327	3,754	1,474
Cost of sales	(5,111)	(1,024)	(432)
Gross profit	13,216	2,730	1,042
Other operating income	320	-	-
Selling expenses	(1,359)	(348)	(86)
General and administrative expense	(2,467)	(988)	(219)
Operating profit	9,710	1,394	737
Dividend income	214	32	13
Income from rental of investment property	30		
Profit before financing and income taxes	9,954	1,426	750
Interest expense of borrowing and lease liabilities	(1,012)	(216)	(34)
Profit before income taxes	8,942	1,210	716
Income tax expense	(1,815)	(220)	(146)
PROFIT FOR THE YEAR	7,127	990	570

Appendix 2 – Details of Badminton's investments in Cooley and Upton and intra-group transactions during the year

Cooley

1. On 1 December 20X1, Badminton purchased 90% of the shares in Cooley for a cash consideration of £4,574,000. The equity of Cooley at 1 December 20X1 consisted of:

	£'000
Share capital	1,000
Retained earnings	3,125
Revaluation surplus	341
Total equity	4,466

2. The only fair value adjustment required related to obsolete inventories amounting to £42,000, which was identified at the date of acquisition and was written off in Cooley's nominal ledger on 31 May 20X2.

3. Cooley's profit accrues evenly across the year.

4. Given recent economic outlooks, the directors consider that goodwill has been impaired by 30% at 31 May 20X2.

   On 1 December 20X1, Cooley entered into an agreement to rent an office from Badminton. The office, Badminton's investment property, had a fair value of £8,000,000 at 1 June 20X1, 1 December 20X1 and 31 May 20X2 and has been accounted for correctly in Badminton's individual financial statements. The rent is £60,000 per annum, payable annually in advance. The invoice was paid in full on 1 December 20X1. Cooley has recognised these transactions correctly in its individual financial statements. Badminton has recorded rental income as Income from rental of investment property.

   The property is assessed to have a remaining useful life of 90 years from 1 December 20X1. It is the policy of Badminton to carry out a revaluation of property, plant and equipment once every three years and the next revaluation will take place on 31 May 20X3.

5. Badminton invoiced Cooley for management fees of £75,000 on 14 May 20X2, which Cooley settled in full on 31 May 20X2. The management fees covered the period from 1 December 20X2 to 31 May 20X2. Badmington presents management fee income within Other operating income.

Upton

1. On 1 June 20X1, Badminton entered into an agreement with Online Blended Learning Partnership plc (Online) to set up a new company, Upton, as a Dubai-based joint venture. The terms of the arrangement are that Badminton and Online have equal control over Upton and share equally in any profits (or losses) arising.

   Under the terms of the arrangement, Online provided the initial finance of Upton by investing

   £80,000 of cash in the company. Badminton's investment was by way of plant and equipment with a fair value of £60,000 and cash of £20,000. The plant and equipment had a carrying amount of £55,000. Each party received 80,000 £1.00 shares in return for the consideration given.

   Your predecessor has debited the cash transfer to 'interest expense' and credited to 'Cash and cash equivalents'. Depreciation was correctly ceased on transfer of the plant and equipment. No other accounting has taken place. Upton's financial controller has recorded Upton's side of the transaction correctly.

2. Upton paid a dividend totalling £100,000 on 31 May 20X2. Badminton recorded its share of this as 'dividend income'.

Question 10

Pizzaworld plc

Pizzaworld plc (Pizzaworld) franchises Pizzaworld outlets to operators. The franchise agreements give Pizzaworld protective rights over the brand and detail the way the franchisee should operate the business. The franchisees pay an initial premium followed by an annual fee, which partly varies with sales.

During the year, Pizzaworld sold the franchises in operation to PWFirst Ltd (PWF), a company created by Pizzaworld but 100% owned by the First Luton Bank plc (FLB). PWF has one ordinary share and borrowed £12,000,000 from FLB. PWF paid £12,000,000 for the franchises, which were included in the financial statements of Pizzaworld at £4,500,000 at the date of disposal. Under the sales agreement, Pizzaworld retained the right to monitor the operation of the franchises and to make necessary changes under the terms of each franchise that affect performance.

FLB receives an annual dividend from PWF equivalent to SONIA +4% on its loan. Pizzaworld has given a guarantee over dividend payments and receives a surplus over this amount annually, based on the performance of the franchise. PWF will be liquidated in 20 years' time when the franchises expire and Pizzaworld has guaranteed repayment of capital to the bank.

Required:

Advise, providing explanations, on whether PWF should be consolidated into the financial statements of the Pizzaworld Group.

Total marks (9 marks)

Question 11

Vesuvius Volcanoes plc

You work in the finance team of Vesuvius Volcanoes plc (Vesuvius). During the year ended 31 December 20X3, Vesuvius acquired stakes in several entities.

The financial controller of Vesuvius has asked you to advise on the basis for which each of the entities should be accounted for in the consolidated financial statements of the Vesuvius Group.

Information relevant to acquired stakes is included in the Appendix.

Required:

Advise, providing explanations and showing all workings, on the basis for which each of the entities should be accounted for in the consolidated financial statements of the Vesuvius Group for the year ended 31 December 20X3.

Total marks (10 marks)

Appendix – Information relevant to acquired stakes

1. Pompeii

Vesuvius acquired 2,000,000 'A' ordinary shares in Pompeii Pipes Ltd (Pompeii). Pompeii's total issued share capital is 2,500,000 'A' ordinary shares and 2,000,000 'B' ordinary shares. 'A' ordinary shares carry three votes each and 'B' ordinary shares carry one vote each.

2. Herculaneum

Vesuvius acquired 1,000,000 ordinary shares and 5,000,000 preference shares in Herculaneum Heaters Ltd (Herculaneum). Herculaneum's total issued share capital is 5,000,000 ordinary shares and 5,000,000 preference shares. The preference shares are not redeemable and do not carry a fixed dividend.

3. Naples

Vesuvius acquired 100% of the issued share capital of Naples Nectar Ltd (Naples). Vesuvius acquired Naples with a view to selling the company on to a third party. Negotiations for the sale have been ongoing since Naples was acquired on 1 December 20X3 and the deal is expected to be completed by 30 June 20X4.

4. Roman

Vesuvius acquired one-third of the issued share capital of Roman Ruins Ltd (Roman). The remaining shares are held equally by Popa Pipes Ltd plc (Popa) and Etna Excavations plc (Etna). The contractual arrangement provides that each of the three shareholders has an equal say in the management, operating and financial policies of Roman. Each shareholder has rights to the assets and obligations for the liabilities of Roman.

Question 12

Zoose Group

Zoose Ltd (Zoose) acquired 25% of Pilot Ltd (Pilot) on 1 October 20X1 for a consideration of £8,000,000 when Pilot's Retained earnings were £4,600,000. Pilot's share capital consists of 30,000,000 £1 ordinary shares.

You are preparing the consolidated financial statements of the Zoose Group for the year ended 30 September 20X3, in accordance with IFRS® Accounting Standards.

Pilot has £6,850,000 in Retained earnings at 30 September 20X3. Its profit for the year ended 30 September 20X3 was £5,800,000 and it paid a dividend of £4,000,000.

During the year ended 30 September 20X3, Zoose made sales totalling £3,240,000 to Pilot. Zoose earned a gross profit margin of 20%. All goods have been paid for. Pilot still had 10% of the goods purchased in inventories at 30 September 20X3.

Required:

Prepare, showing all workings, journal entries to account for the Zoose Group's consolidated financial statements for the year ended 30 September 20X3.

Total marks (16 marks)

Note: All journal entries should be presented in £'000.

Question 13

Eagle Group

You are the financial controller of the Eagle Group, which consists of Eagle plc (Eagle), Heron Ltd (Heron) and Sparrow Ltd (Sparrow).

You must prepare the consolidated financial statements of the Eagle Group for the year ended 30 September 20X8, in accordance with IFRS® Accounting Standards.

The financial statements of Eagle, Heron and Sparrow are included in Appendix 1. Other information relevant to the consolidated financial statements is included in Appendix 2.

Required:

Prepare, showing all workings, any consolidation journal entries necessary for the year ended 30 September 20X8.

(14 marks)

Note: You are not required to complete the final step for consolidated financial statements

Appendix 1 - Financial statements

	Eagle Group (excluding Sparrow) £'000	Sparrow £'000
Statements of financial position (abbreviated)		
As at 30 September 20X8		
Goodwill	27	-
Investment in Sparrow	47	-
Other net assets	749	128
	823	128
Equity		
Share capital	220	50
Retained earnings	520	78
Non-controlling interest	83	-
Total equity	823	128
Statements of profit or loss (extracts)		
For the year ended 30 September 20X8		
Profit before income taxes	176	47
Income tax expense	(65)	(15)
PROFIT FOR THE YEAR	111	32

Appendix 2 - Other information relevant to the consolidated financial statements

Eagle acquired 20,000 of Sparrow's £1.00 ordinary shares on 30 September 20X2 for a consideration of £30,000 when Sparrow's retained earnings were £35,000.

Sparrow paid a dividend of £10,000 on 31 July 20X8. Eagle records dividends from associates in income from associates.

During the year ended 30 September 20X8, Sparrow sold goods to Eagle for £40,000. These goods had cost Sparrow £32,000. At 30 September 20X8, 25% of these goods remained unpaid and in inventories.